SECTION 05 / 18

GROWTH MODEL

Product Funnel (AARRR)

Sarvam's pirate-metrics funnel across both motions — self-serve developers and contracted enterprises — and an honest diagnosis of where each stage leaks.

FRAMEWORK	STAGES	BIGGEST LEAK	STRUCTURAL TENSION
AARRR (Dave McClure)	6, including the referral loop	Acquisition → Activation	Two revenue motions, one funnel

5.1 The funnel

REFERRAL FEEDS ACQUISITION, BUT THE LOOP IS CURRENTLY A BY-PRODUCT RATHER THAN A DESIGNED MECHANISM

5.2 What powers each stage

FUNNEL STAGE	SARVAM AI MECHANISM
Acquisition	Developer community (Discord), open-source model releases (Sarvam-30B / 105B), conference visibility, SEO-friendly documentation, enterprise sales outreach, government and mission channels
Activation	First successful API call for self-serve; first successful pilot deployment for enterprise and government
Engagement	Repeated API calls inside a live product; enterprise agents handling real customer conversations — 100M+ conversations processed via Samvaad and Indus per public claims
Retention	Weekly active developers and apps continuing to call the API; enterprise contract renewals; government programmes expanding scope
Revenue	Pay-per-use billing (₹ per token, audio-minute, character, page); enterprise contracts; potential future consumer monetisation via Indus and hardware via Kaze
Referral	Open-source releases attract researchers and developers; enterprise case studies drive peer references; Startup Program alumni evangelise; Discord community effects

5.3 Funnel diagnosis

LEAK 1 — ACQUISITION TO ACTIVATION

The largest self-serve drop-off. Many APIs, no single guided path: the developer must self-diagnose which product solves their problem before experiencing any value. Torn apart in **Section 9**.

STRENGTH — ENGAGEMENT TO RETENTION (ENTERPRISE)

Comparatively strong, because forward-deployed engineers manually ensure production success. The catch: this does not scale as cheaply as self-serve, so retention quality is bought with headcount.

LEAK 2 — REVENUE IS BIFURCATED

Micro-transactions from self-serve top-ups sit alongside large enterprise contracts with nothing in between. The PM challenge is building a self-serve-to-enterprise upgrade path — something very few products in this space do well.

LEAK 3 — REFERRAL IS INCIDENTAL, NOT DESIGNED

Growth currently leans on open-source releases and case studies rather than an engineered product-led loop. There is no visible "invite a developer, get credits" mechanism.